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LOVAII NAVLAKHI
MD & CEO, INTERNATIONAL
MONEY MATTERS



“In the present times, it is better to invest gradually as geopolitical uncertainties, inflation, changes in interest rates and the stage of the economy can keep impacting gold prices”

HARSHAD CHETANWALA
CO-FOUNDER,
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no tax on redemptions after maturity. However, if they are redeemed after the lock-in period of five years and before the maturity period, profits are taxed at 20 per cent with indexation benefit as long-term capital gains (LTCG). If one does not avail the indexation benefit—used to adjust the cost of buying against inflation—then a 10 per cent tax is levied.

Gold ETFs: Unlike SGBs, ETFs are backed by physical gold, which is stored in the vaults of custodian banks. The value of each unit of ETF depends on how the asset management company decides to allot the value of 1 gm of gold to each unit. But one must remember that there is a tracking error while buying a gold ETF. It means, the value of the ETF does not mirror spot gold prices due to the expenses charged on it, such as transaction fees and the cash held by the ETFs to make investments or distribute payouts.

The tax treatment for gold ETFs is similar to a debt fund. If sold after three years, they are taxed as LTCG at 20 per cent post indexation. If sold before three years, then it is taxed according to your income slab as short-term capital gains.

Gold funds: For those who don't have a demat account but still want to invest in digital gold, gold funds are the best option. These funds invest in gold ETFs and are offered by mutual funds, where net asset values are declared daily at the end of trading. However, you spend more when investing in gold funds because you have to pay the cost of managing both gold funds and their ETFs. Taxation is also similar to gold ETFs.

“The simplest way to invest in gold is through MFs. Those who have demat accounts, they should invest through ETFs. If you have a long-term perspective, you could invest in SGBs, which have tenures

of eight years,” says Lovaii Navlakhi, Managing Director and CEO of International Money Matters, a registered investment advisory firm.

HOW MUCH TO INVEST?

Experts advise people to invest 5-10 per cent of their portfolio in gold. According to them, gold is a good hedge against the uncertainties of the equity market. “We recommend that gold always form a part of client portfolios to the extent of 3-5 per cent of net worth and can increase to a maximum of 10 per cent during uncertain times. Build the portfolio through staggering investments in the next four to six weeks,” says Navlakhi.

Investment in gold is good from a diversification perspective. But investments in physical gold are liable to be charged in the form of deductions when you sell them.

“You should look at gold from an asset allocation perspective where it can hedge against inflation and equity. Usually, you can consider an allocation of 5 per cent. In present times, it is better to invest gradually,” says Harshad Chetanwala, Co-founder of MyWealthGrowth.com.

Just like an SIP, you can invest as little as one rupee in digital gold through companies like MMTC-PAMP and SafeGold and their mobile-wallet distribution partners. After accumulating the minimum units, you can either sell it at prevailing rates or get the equivalent physical gold home delivered. However, unlike SGBs, gold ETFs and gold funds, digital gold is unregulated and does not fall under the ambit of RBI or Sebi regulations.

Before venturing into investments in gold, one should understand the risks carefully. “The question to ask is whether you need that exotic product and if so, the why of it. That in itself might keep you safe,” says Navlakhi. **BT**

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